



LUMENTUM HOLDINGS

OUTPERFORM

LITE US ■ PRICE USD820.6* ■ TARGET PRICE **USD1,380** (UPSIDE 68%)

TARGET PRICE	EPS 06/27e	EPS 06/28e
↗ 6%	↗ 11%	↗ 10%

Lighting The Way

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Lumentum continues to shine with accelerating triple-digit revenue growth and material margin expansion. We believe Lumentum is well-positioned to capitalize on further growth and margin gains driven by CPO/NPO adoption, 1.6T optical transceivers, and OCS. Raise ests. and TP to \$1,380.

What We Learned In The Quarter

Lumentum reported JunQ rev/EPS at \$1.01B/\$3.23 (2%/9% above cons.) and guided SeptQ to \$1.25B/\$4.20 (9%/17% above cons.) with OpM expanding to 40%. Components sales grew 22% Q/Q to \$649M off record EML shipments and robust demand for scale-across products. Systems sales increased 30% Q/Q to \$357M, driven by optical transceivers and OCS. For SeptQ, Lumentum expects half of ~\$250M sequential growth to come from Components, driven by scale-out CPO and scale-across demand, while Systems should comprise the remainder, driven by the ongoing 1.6T transceiver ramp and doubling of OCS sales. Other notable items: 1) pump laser demand could be 4x over the next few qtrs., which is positive for Ciena, Cisco, and Marvell; 2) orders for ELS modules should ship in 2H CY27; 3) NPO is an incremental opportunity to CPO, and NPO could leverage mid-power CW lasers integrated directly with the OE or an external UHP CW laser; 4) Lumentum has “significantly” reduced CW laser die size, which has narrowed the margin gap between EML; and 5) Lumentum now expects to achieve \$2B/qtr. around mid-CY27 with ~42% OpM (previously 40%).

What To Do From Here

We believe Lumentum is uniquely positioned to benefit from multiple catalysts over the next 18 months. This includes growing demand for 100G/200G EMLs for 800G/1.6T optical transceivers, ultra-high and mid-power CW lasers for NPO/CPO applications, and broadening OCS demand.

Maintain Outperform; Raise TP To \$1,380 (From \$1,300) As We Roll Our Valuation To CY28

Our \$1,380 TP is based on 30x our CY28 non-GAAP EPS of \$44.17 (from \$39.63; cons. \$35.50) plus net cash of \$56. This yields an implied PEG ratio of only 0.3x based on CY25-CY29 EPS CAGR.

Lumentum Holdings (+)		LITE US	Performance ⁽¹⁾				
			1w	1m	3m	12m	
*Closing Price (11 August 2026)		USD820.6	(3)	2	(22)	613	
Volume (USDm / EURm)		4,417.9 / 3,827.5	(3)	6	(23)	366	
Market cap (USDbn / EURbn)		69.6 / 60.3	(3)	0	(26)	485	
Free float (USDbn / EURbn)		68.9 / 59.7					
EV (USDbn / EURbn)		67.2 / 58.3					
Country / Sub Sector		USA / Networking Equipment					

Financials	06/26p	06/27e	06/28e	06/29e	Valuation metrics ⁽²⁾	06/26p	06/27e	06/28e	06/29e
EPS, Adjusted (USD)	6.85	19.84	34.54	48.97	P/E (x)	65.8	41.4	23.8	16.8
EPS, Company (USD)	8.68	21.45	36.15	50.58	Net yield (%)	0.0	0.0	0.0	0.0
EPS - Bloomberg (USD)	8.18	18.50	29.78	44.02	FCF yield (%)	3.0	1.1	3.5	5.6
Net dividend (USD)	0.00	0.00	0.00	0.00	EV/Sales (x)	10.6	10.9	7.0	5.1
Sales (USDm)	3,014	6,160	9,244	12,204	EV/EBITDA (x)	37.7	25.6	14.5	9.8
EBITA, Adj. (USDm)	706	2,372	4,125	5,793	EV/EBITA (x)	45.2	28.3	15.8	10.6
Net profit, Adj. (USDm)	618	2,025	3,528	5,001	EV/CE (x)	10.6	15.2	11.5	8.8
ROCE (%)	19.6	44.8	61.0	69.6					
Net Debt/EBITDA, Adj. (x)	-	-	-	-					

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested (2) Yearly average price for FY ended 06/26

See page 7 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility (“CSR”) policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube. *Closing Price (11 August 2026). (1) FINRA member firm and broker-dealer registered with the U.S. Securities Exchange Commission

What Happened?

Lumentum reported JunQ rev/EPS of \$1.01B/\$3.23 which are 2%/9% above consensus. Gross margin improved ~250bps Q/Q to 50.4% on better manufacturing utilization, increased pricing, and favorable mix. With OPEX of \$138M, 6% above consensus, OpM improved ~440bps Q/Q to 36.6%, 140bps above consensus. By segment, Components increased 22% Q/Q and 103% Y/Y to \$649M driven by broad-based demand with record EML laser shipments led by 100G and 200G per lane. The company indicated that 200G per lane EMLs exceeded 25% of EML sales. Shipments for narrow line width laser assemblies grew for the tenth consecutive quarter, over 130% Y/Y, while pump lasers grew over 80% Y/Y driven by scale-across demand. Systems increased 30% Q/Q and 123% Y/Y to \$357M driven by strong transceiver volumes and OCS. Lumentum began initial 1.6T transceiver shipments in JunQ with some units leveraging internal CW lasers.

For SeptQ, Lumentum guided rev/EPS of \$1.25B/\$4.20 at the midpoint, 9%/17% above consensus, with roughly half of the sequential growth coming from Components. Systems is expected to comprise the remaining growth driven by the ongoing ramp of 1.6T optical transceivers and OCS, which is expected to exceed triple-digits. The company expects continued contributions from scale-out CPO and OCS in SeptQ, the company noted incremental demand for NPO applications leveraging mid-power 120/150mW CW lasers addressing both external and integrated solutions. Meanwhile, OpM is guided to 40.0% at the midpoint, 278bps above consensus.

Figure 1: Results vs. estimates

As of 08/10/2026 (Non-GAAP)	JunQ 26A					SepQ 26E			
	Actual	Street	Surprise	BNPP	Guidance	Guidance	Street	Surprise	BNPP
Total Revenue	\$1006M	\$990M	2%	\$982M	\$985M	\$1250M	\$1151M	9%	\$1179M
Gross Margin	50.4%	48.8%	156bps	47.9%	--	--	49.1%	--	49.3%
OPEX	\$138M	\$130M	6%	\$124M	--	--	\$136M	--	\$139M
EBIT	\$369M	\$351M	5%	\$347M	\$350M	\$500M	\$433M	16%	\$442M
OpM	36.6%	35.3%	140bps	35.3%	35.5%	40.0%	37.2%	278bps	37.5%
EPS	\$3.23	\$2.97	9%	\$2.92	\$2.95	\$4.20	\$3.58	17%	\$3.70

Source: Company Reports, Bloomberg, BNP Paribas estimates

Estimate Changes

We increase our rev/EPS estimates by 4%/10% to \$4.53B/\$14.78 for CY26, 4%/8% to \$7.65B/\$28.14 for CY27, 5%/11% to \$10.82B/\$44.17 for CY28, and 5%/12% to \$13.57B/\$56.63 for CY29 to account for robust growth across platforms with favorable margin tailwinds. Our EPS estimates for CY26/CY27/CY28/CY29 are 13%/17%/24%/13% above the Street pre-call, respectively.

Figure 2: BNPP vs. Street

As of 08/11/2026		F2025A	FQ1:26A	FQ2:26A	FQ3:26A	FQ4:26A	F2026A	FQ1:27E	FQ2:27E	FQ3:27E	FQ4:27E	F2027E	F2028E	F2029E	C2025A	C2026E	C2027E	C2028E	C2029E
BNP Paribas Estimates	Revenue (\$ in MM)	\$ 1,645	\$ 534	\$ 666	\$ 808	\$ 1,006	\$ 3,014	\$ 1,255	\$ 1,455	\$ 1,631	\$ 1,819	\$ 6,160	\$ 9,244	\$ 12,204	\$ 2,105	\$ 4,525	\$ 7,646	\$ 10,823	\$ 13,574
	Rev Growth Y/Y	21%	58%	65%	90%	109%	83%	135%	119%	102%	81%	104%	50%	32%	49%	115%	69%	42%	25%
	Non GAAP EPS (Ex SBC)	\$ 2.06	\$ 1.10	\$ 1.67	\$ 2.37	\$ 3.23	\$8.68	\$ 4.21	\$ 4.88	\$ 5.69	\$ 6.67	\$21.45	\$36.15	\$50.58	\$ 4.34	\$ 14.78	\$ 28.14	\$ 44.17	\$ 56.63
	EPS Growth Y/Y	120%	522%	299%	319%	267%	322%	281%	192%	140%	107%	147%	69%	40%	356%	241%	90%	57%	28%
	Non GAAP EPS (Inc SBC)	\$ (0.06)	\$ 0.60	\$ 1.20	\$ 1.95	\$ 2.81	\$6.87	\$ 3.81	\$ 4.48	\$ 5.29	\$ 6.27	\$19.84	\$34.54	\$48.97	\$ 2.16	\$ 13.14	\$ 26.53	\$ 42.56	\$ 55.02
	EPS Growth Y/Y	91%	328%	2973%	1230%	591%	11687%	536%	274%	171%	123%	189%	74%	42%	398%	507%	102%	60%	29%
BNP Paribas Old Estimates	Revenue (\$ in MM)	--	\$ 534	\$ 666	\$ 808	\$ 982	\$ 2,990	\$ 1,179	\$ 1,393	\$ 1,555	\$ 1,772	\$ 5,899	\$ 8,844	\$ 11,609	--	\$ 4,363	\$ 7,349	\$ 10,323	\$ 12,887
	Rev Growth Y/Y	--	58%	65%	90%	104%	82%	121%	109%	92%	80%	97%	50%	31%	--	107%	68%	40%	25%
	Non GAAP EPS (Ex SBC)	--	\$ 1.10	\$ 1.67	\$ 2.37	\$ 2.92	\$ 8.34	\$ 3.70	\$ 4.41	\$ 5.07	\$ 6.25	\$19.44	\$32.94	\$45.21	--	\$ 13.47	\$25.95	\$39.63	\$50.50
	EPS Growth Y/Y	--	522%	299%	319%	232%	305%	235%	164%	114%	114%	133%	69%	37%	--	211%	93%	53%	27%
	Non GAAP EPS (Inc SBC)	--	\$ 0.60	\$ 1.20	\$ 1.95	\$ 2.54	\$ 6.59	\$ 3.31	\$ 4.02	\$ 4.69	\$ 5.87	\$17.89	\$31.39	\$43.67	--	\$ 11.90	\$24.41	\$38.08	\$48.95
	EPS Growth Y/Y	--	328%	2979%	1230%	525%	11204%	453%	236%	140%	131%	172%	75%	39%	--	450%	105%	56%	29%
Street Consensus	Revenue (\$ in MM)	\$ 1,645	\$ 534	\$ 666	\$ 808	\$ 990	\$ 2,999	\$ 1,151	\$ 1,342	\$ 1,506	\$ 1,669	\$ 5,639	\$ 8,755	\$ 12,172	\$ 2,105	\$ 4,288	\$ 7,171	\$ 9,904	\$ 12,892
	Rev Growth Y/Y	21%	58%	65%	90%	106%	82%	116%	102%	86%	69%	88%	55%	39%	49%	104%	67%	38%	30%
	Non GAAP EPS (Ex SBC)	\$ 2.06	\$ 1.10	\$ 1.67	\$ 2.37	\$ 2.97	\$ 8.18	\$ 3.58	\$ 4.31	\$ 4.87	\$ 5.51	\$ 18.50	\$ 29.78	\$ 44.02	\$ 4.22	\$ 13.12	\$ 23.96	\$ 35.50	\$ 50.06
	EPS Growth Y/Y	104%	511%	298%	316%	237%	297%	225%	158%	105%	86%	126%	61%	46%	344%	211%	83%	48%	41%
		BNPP Rev vs. Street	--	--	--	--	2%	0%	9%	8%	8%	9%	9%	6%	0%	--	6%	7%	9%
	BNPP EPS vs. Street	--	--	--	--	9%	6%	18%	13%	17%	21%	16%	21%	15%	--	13%	17%	24%	13%

Source: Company Reports, Bloomberg, BNP Paribas Equity Research estimates

Price Target and Valuation

We maintain our Outperform rating, and we are increasing our TP to \$1,380 as we roll forward our valuation (from 50x CY27) to 30x our CY28 non-GAAP EPS of \$44.17 (from \$39.63; cons. \$35.50) plus estimated net cash per share of \$56. We believe this multiple is very attractive given our forecasted earnings CAGR of 90% from CY25-CY29.

Figure 3: Valuation metrics vs. peer group

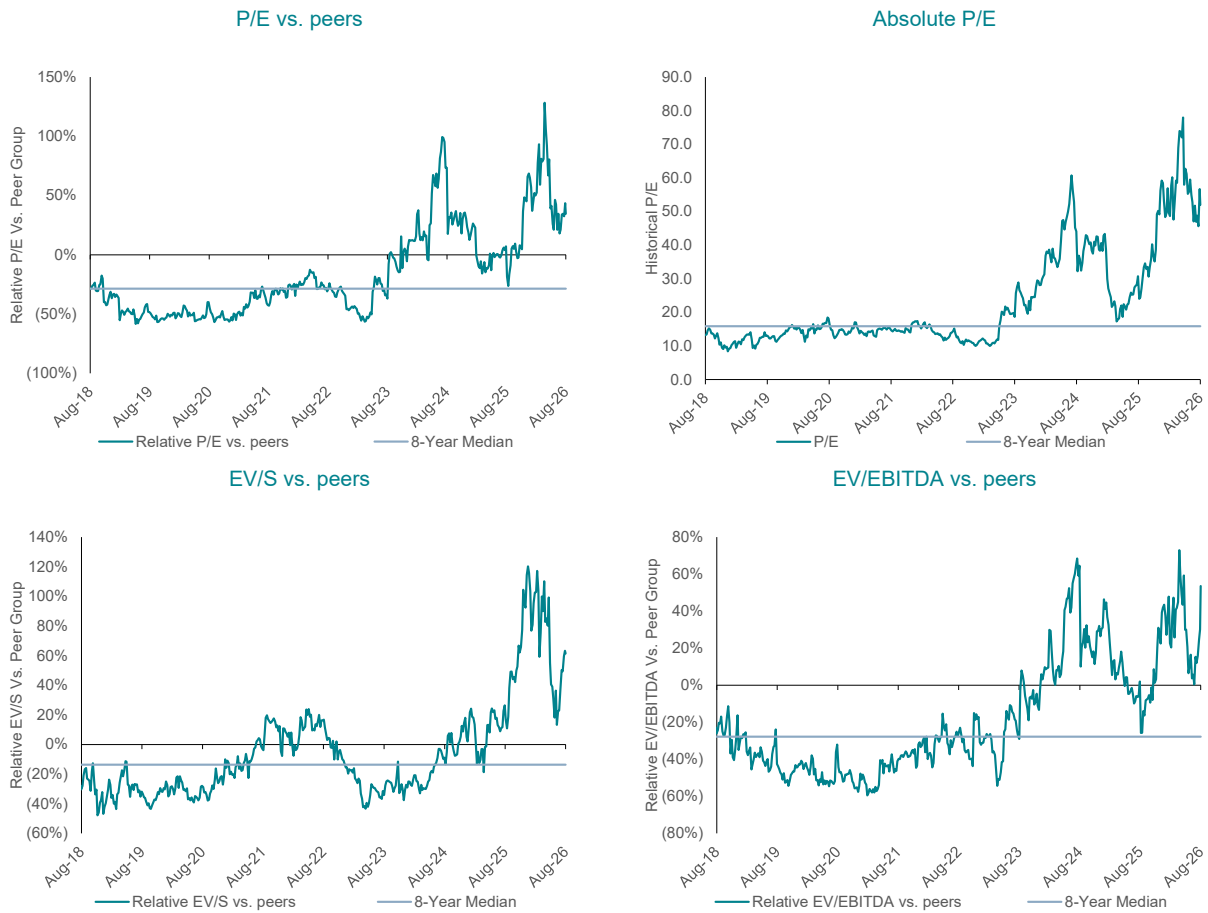
Ticker	Company Name	Rating	08/11/2026	Price					P/E					P/E ex cash					EV/Sales					EV/EBITDA					EV/FCF					Div Yield	
				2025A	2026E	2027E	2028E	CAGR	2025A	2026E	2027E	2028E	CAGR	2025A	2026E	2027E	2028E	CAGR	2025A	2026E	2027E	2028E	CAGR	2025A	2026E	2027E	2028E	CAGR	2025A	2026E	2027E	2028E	CAGR		
LITE	Lumentum Holdings Inc	+	\$ 820.59	189x	56x	29x	19x	117%	189x	56x	29x	19x		30.2x	14.1x	8.3x	5.9x	73%	177x	36x	18x	11x	149%	NM	39x	35x	20x	NM	NM						
Optical Supply Chain																																			
COHR	Coherent Corp	+	\$ 328.14	78x	48x	32x	22x	52%	78x	48x	32x	22x		10.4x	8.0x	5.8x	4.5x	33%	46x	31x	22x	16x	42%	NM	1185x	73x	35x	NM	0.0%						
FN	Fabrinet	+	\$ 525.49	46x	33x	26x	21x	29%	44x	32x	25x	20x		4.6x	3.4x	2.7x	2.3x	26%	38x	28x	22x	19x	27%	175x	55x	41x	33x	75%	0.0%						
002281	Accelink	NC	¥ 184.07	152x	86x	49x	40x	56%	150x	85x	48x	39x		12.6x	8.4x	6.7x	5.1x	36%	101x	60x	41x	30x	49%	183x	NM	78x	162x	0%	NM						
300502	Eoptolink	NC	¥ 415.30	61x	27x	16x	11x	74%	60x	27x	16x	11x		23.1x	10.7x	6.1x	4.7x	70%	51x	22x	12x	9x	76%	90x	41x	17x	9x	112%	NM						
300308	InnoLight	NC	¥ 886.96	90x	33x	18x	12x	96%	90x	33x	18x	12x		26.9x	10.3x	5.8x	4.1x	88%	71x	25x	14x	10x	95%	127x	72x	25x	13x	114%	NM						
AAOI	Applied Optoelectronics Inc	NC	\$ 133.49	NM	196x	29x	19x	NM	NM	193x	28x	18x		24.3x	10.6x	5.9x	2.5x	114%	NM	144x	27x	NM	NM	NM	NM	NM	NM	(32%)	0.0%						
AVGO	Broadcom Inc	+	\$ 414.43	57x	29x	18x	14x	59%	57x	29x	18x	14x		29.5x	15.8x	10.0x	7.7x	57%	44x	23x	15x	11x	57%	70x	32x	20x	15x	68%	0.6%						
MIRVL	Marvel Technology Inc	+	\$ 211.79	74x	53x	31x	22x	51%	74x	53x	31x	22x		22.8x	16.2x	10.7x	7.8x	43%	58x	40x	24x	17x	49%	89x	51x	33x	21x	62%	0.1%						
MTSI	MACOM Technology Solutions Inc	+	\$ 301.59	81x	47x	34x	27x	44%	80x	46x	34x	27x		22.3x	15.4x	12.5x	10.4x	29%	77x	42x	30x	24x	47%	141x	66x	36x	30x	68%	NM						
CRDO	Credo Technology Group Holdings Inc	+	\$ 247.07	94x	46x	28x	22x	61%	91x	45x	27x	22x		41.8x	21.2x	12.4x	10.0x	61%	87x	39x	22x	18x	69%	157x	63x	35x	25x	84%	NM						
Sector Average:				82x	60x	28x	21x	58%	80x	59x	28x	21x		21.8x	12.0x	7.7x	5.9x	56%	64x	45x	23x	17x	57%	129x	196x	40x	40x	61%	0.1%						
Sector Median:				78x	47x	28x	21x	56%	78x	46x	28x	21x		22.9x	10.6x	6.4x	4.9x	50%	58x	35x	22x	17x	49%	134x	59x	35x	25x	68%	0.0%						
Networking Hardware																																			
CEN	Ciena Corp	+	\$ 386.35	124x	55x	37x	26x	69%	124x	55x	37x	26x		10.7x	8.2x	6.4x	5.0x	29%	76x	38x	26x	19x	60%	77x	86x	54x	31x	35%	0.0%						
ANET	Arista Networks Inc	+	\$ 196.91	67x	48x	38x	30x	30%	63x	45x	36x	29x		26.1x	18.6x	14.5x	11.7x	31%	53x	38x	30x	24x	30%	55x	40x	37x	33x	19%	0.0%						
CSCO	Cisco Systems Inc	+	\$ 121.10	30x	27x	25x	23x	10%	30x	27x	25x	23x		8.4x	7.4x	7.0x	6.8x	7%	24x	21x	19x	18x	9%	40x	24x	24x	22x	22%	1.3%						
NOKIA	Nokia	+	\$ 8.22	28x	28x	24x	20x	17x	19%	27x	23x	19x	17x		2.3x	2.2x	2.0x	2.0x	5%	14x	15x	12x	10x	12%	31x	39x	26x	18x	20%	NM					
ERIC	Ericsson	-	\$ 96.20	11x	15x	14x	13x	(3%)	9x	12x	11x	10x		1.2x	1.2x	1.2x	1.2x	(0%)	5x	8x	7x	7x	(8%)	9x	13x	11x	10x	(3%)	3.9%						
HPE	Hewlett Packard Enterprise Co	NC	\$ 54.15	27x	15x	13x	12x	29%	27x	15x	13x	12x		NM	1.9x	1.8x	1.6x	NM	NM	9x	9x	9x	NM	54x	22x	21x	17x	47%	1.0%						
Sector Average:				48x	31x	24x	20x	23%	47x	30x	24x	19x		9.7x	6.6x	5.5x	4.7x	13%	35x	21x	17x	14x	16%	44x	37x	29x	22x	18%	1.2%						
Sector Median:				29x	25x	22x	20x	18%	29x	25x	22x	20x		8.4x	4.8x	4.2x	3.5x	6%	24x	18x	16x	14x	10%	47x	32x	25x	20x	20%	1.0%						
Industrial Optics																																			
IEX	IDEX Corp	=	\$ 237.09	30x	27x	25x	22x	10%	30x	27x	25x	22x		5.4x	5.1x	4.8x	4.5x	6%	20x	19x	17x	16x	8%	30x	31x	26x	23x	9%	1.2%						
IPGP	IPG Photonics Corp	NC	\$ 85.56	60x	51x	37x	27x	30%	46x	39x	28x	21x		2.8x	2.5x	2.2x	2.0x	11%	20x	18x	14x	12x	18%	NM	40x	46x	17x	NM	0.0%						
MKSI	MKS Inc	NC	\$ 293.71	37x	22x	17x	15x	36%	37x	22x	17x	15x		6.0x	4.6x	3.9x	3.5x	19%	24x	16x	13x	13x	24%	47x	39x	25x	22x	30%	0.3%						
AMS	ams-OSRAM AG	NC	CHF 19.19	34x	NM	NM	16x	30%	34x	NM	NM	16x		1.4x	1.5x	1.4x	1.4x	1%	8x	9x	8x	7x	1%	125x	NM	1072x	31x	60%	NM						
Sector Average:				40x	33x	26x	20x	27%	37x	29x	23x	18x		3.9x	3.4x	3.1x	2.9x	9%	18x	16x	13x	12x	13%	67x	37x	292x	23x	33%	0.5%						
Sector Median:				36x	27x	25x	19x	30%	36x	27x	25x	18x		4.1x	3.6x	3.0x	2.8x	9%	20x	17x	13x	12x	13%	47x	39x	36x	22x	30%	0.3%						
Overall Average:				62x	46x	27x	21x	39%	61x	45x	26x	20x		14.9x	8.7x	6.1x	4.9x	33%	45x	32x	19x	15x	35%	88x	112x	89x	31x	41%	0.6%						
Overall Median:				60x	33x	26x	21x	33%	57x	33x	25x	21x		10.7x	8.1x	5.8x	4.5x	29%	45x	24x	18x	16x	30%	77x	40x	33x	22x	35%	0.1%						

Ratings: Underperform (-); Neutral (=); Underperform (-); NC = Not Covered. NOK and ERIC are covered by Blake Bluestone. IEX is covered by Andrew Buschman.

Ratings: Outperform (+), Neutral (=), Underperform (-); NC = Not Covered. NOK and ERIC are covered by Jacob Bluestone; IEX is covered by Andrew Buscaglia

Source: Bloomberg for NC stocks, BNP Paribas Equity Research estimates

Figure 4: Historical valuation



Source: Bloomberg, BNP Paribas Equity Research
 Optical peers include: Accelink, AAOI, AVGO, COHR, CRDO, Eoptolink, FN, InnoLight, MRVL and MTSI
 Networking peers include: ANET, CIEN, CSCO, ERIC, HPE, INFN, JNPR, and NOK
 Industrial/Materials peers include: AMS, IEX, IPGP, MKSI

Figure 5: P&L Summary

Fiscal Year P&L (\$MM)														
	2024A	2025A	Q1A	Q2A	Q3A	Q4A	2026A	Q1E	Q2E	Q3E	Q4E	2027E	2028E	2029E
Revenue	\$ 1,359	\$ 1,645	\$ 534	\$ 666	\$ 808	\$ 1,006	\$ 3,014	\$ 1,255	\$ 1,455	\$ 1,631	\$ 1,819	\$ 6,160	\$ 9,244	\$ 12,204
Q/Q	--	--	11%	25%	21%	24%	--	25%	16%	12%	12%	--	--	--
Y/Y	(23%)	21%	58%	65%	90%	109%	83%	135%	119%	102%	81%	104%	50%	32%
Cost of Revenues	\$ 915	\$ 1,074	\$ 324	\$ 383	\$ 422	\$ 499	\$ 1,627	\$ 612	\$ 713	\$ 785	\$ 843	\$ 2,952	\$ 4,101	\$ 5,240
% of Revenue	67%	65%	61%	58%	52%	50%	54%	49%	49%	48%	46%	48%	44%	43%
Gross Profit	\$ 444	\$ 572	\$ 210	\$ 283	\$ 387	\$ 507	\$ 1,387	\$ 644	\$ 742	\$ 846	\$ 976	\$ 3,208	\$ 5,143	\$ 6,964
Gross Margin	33%	35%	39%	42%	48%	50%	46%	51%	51%	52%	54%	52%	56%	57%
R&D	\$ 261	\$ 256	\$ 69	\$ 70	\$ 78	\$ 88	\$ 305	\$ 90	\$ 99	\$ 106	\$ 113	\$ 407	\$ 523	\$ 620
% of Revenue	19.2%	15.6%	12.9%	10.5%	9.7%	8.7%	10.1%	7.2%	6.8%	6.5%	6.2%	6.6%	5.7%	5.1%
SG&A	\$ 152	\$ 155	\$ 42	\$ 45	\$ 48	\$ 51	\$ 185	\$ 52	\$ 57	\$ 61	\$ 65	\$ 235	\$ 302	\$ 358
% of Revenue	11.2%	9.4%	7.8%	6.8%	5.9%	5.0%	6.1%	4.1%	3.9%	3.7%	3.6%	3.8%	3.3%	2.9%
Total Operating Income / (Loss)	\$ 32	\$ 160	\$ 100	\$ 168	\$ 261	\$ 369	\$ 897	\$ 502	\$ 586	\$ 679	\$ 798	\$ 2,565	\$ 4,318	\$ 5,987
Operating Margin	2.3%	9.7%	18.7%	25.2%	32.2%	36.6%	29.8%	40.0%	40.3%	41.6%	43.9%	41.6%	46.7%	49.1%
Interest Income (Expenses)	\$ 43	\$ 15	\$ 4	\$ 5	\$ 10	\$ 22	\$ 40	\$ 12	\$ 10	\$ 16	\$ 18	\$ 57	\$ 104	\$ 200
Pretax Income (Loss)	\$ 74	\$ 175	\$ 104	\$ 172	\$ 270	\$ 391	\$ 937	\$ 514	\$ 597	\$ 695	\$ 816	\$ 2,622	\$ 4,422	\$ 6,186
% of Revenue	5.5%	10.7%	19.4%	25.9%	33.4%	38.8%	31.1%	40.9%	41.0%	42.6%	44.9%	42.6%	47.8%	50.7%
Income Taxes	\$ 11	\$ 29	\$ 17	\$ 28	\$ 45	\$ 65	\$ 155	\$ 85	\$ 98	\$ 115	\$ 135	\$ 433	\$ 730	\$ 1,021
Tax Rate	14.6%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	16.5%
Non-GAAP Net Income	\$ 63	\$ 146	\$ 86	\$ 144	\$ 226	\$ 326	\$ 782	\$ 429	\$ 498	\$ 581	\$ 681	\$ 2,189	\$ 3,692	\$ 5,166
% of Revenue	4.7%	8.9%	16.2%	21.6%	27.9%	32.4%	26.0%	34.2%	34.2%	35.6%	37.5%	35.5%	39.9%	42.3%
Q/Q	--	--	36%	67%	57%	45%	--	31%	16%	17%	17%	--	--	--
Y/Y	(80%)	131%	608%	380%	452%	415%	434%	396%	246%	157%	109%	180%	69%	40%
Non-GAAP Shares Outstanding	67.7	71.2	78.3	86.1	95.2	101.1	90.2	102.0	102.0	102.1	102.1	102.1	102.1	102.1
Non-GAAP Diluted EPS Including SBC	(\$0.68)	(\$0.06)	\$0.60	\$1.20	\$1.95	\$2.81	\$6.87	\$3.81	\$4.48	\$5.29	\$6.27	\$19.84	\$34.54	\$48.97
Non-GAAP Diluted EPS Excluding SBC	\$0.94	\$2.06	\$1.10	\$1.67	\$2.37	\$3.23	\$8.68	\$4.21	\$4.88	\$5.69	\$6.67	\$21.45	\$36.15	\$50.58
Q/Q	--	--	26%	51%	42%	36%	--	30%	16%	16%	17%	--	--	--
Y/Y	(79%)	120%	522%	299%	319%	267%	322%	281%	192%	140%	107%	147%	69%	40%

Source: Company Reports, BNP Paribas Equity Research estimates

Investment case, valuation and risks

Lumentum Holdings (Outperform, Target Price USD1,380)

Investment case

Lumentum's datacom transceiver business is gaining momentum with widening customer breadth and growing engagements. Additionally, we expect 200G per lane EML supply remains tight driven by robust demand for 800G and 1.6T optical transceivers in AI networks. We expect additional growth levers from DCI applications and broadening opportunities through CPO and OCS which should gain traction in 2H of CY26.

Valuation methodology

Our \$1,380 TP is based on 30x our CY28 non-GAAP EPS of \$44.17 plus estimated net/cash per share of \$56.

Risks

To the upside:

1. Win of additional customers for datacom transceivers
2. Better execution on yield improvements and margin expansion.
3. Faster than expected adoption of CPO and OCS.
4. Better than expected growth in telecom DCI solutions.

To the downside:

1. Unable to expand capacity to meet the growth opportunities
2. More competition in EML lasers as competitors start to ship 200G/lane solutions.
3. A material pull back in AI capex investments, which could push out the company's optical transceiver revenue opportunity.
4. A slowdown in datacom transceiver growth.

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Coherent	COHR US	/
Credo Technology	CRDO US	/
Ericsson	ERICB SS	6; 7; 9; 10
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IDEX	IEX US	/
Lumentum Holdings	LITE US	/
MACOM Technology Solutions	MTSI US	/
Marks & Spencer	MKS LN	1; 2; 3; 4; 6; 8
Marks & Spencer ADR	MAKSY US	2; 3; 4; 6; 8
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ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

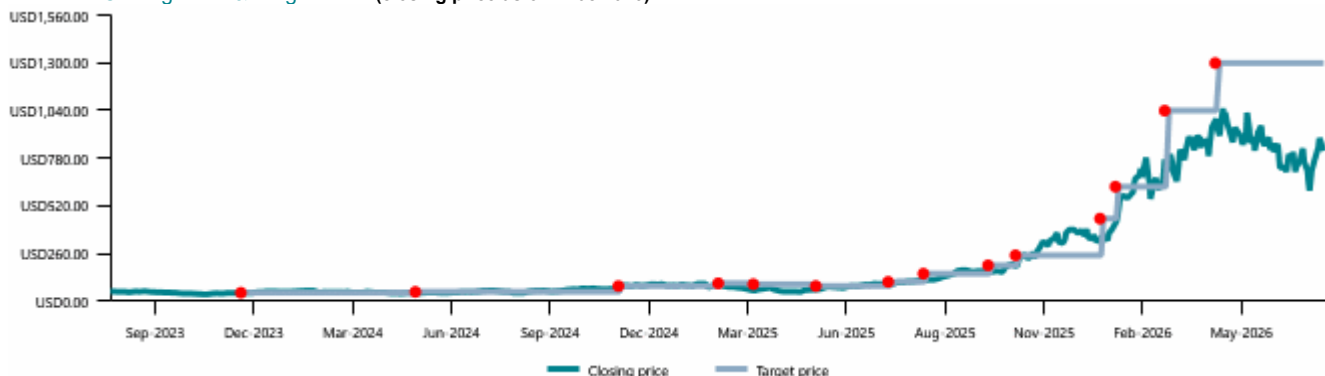
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Price and Ratings Chart

Lumentum Holdings

Historical Closing Price & Target Price (closing price as of 11/08/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
12 Aug 2026 08:39	+	USD1380.00	USD820.59	TP up	K. Ackerman, S. Feldman, A. Moscona-Skolnik
6 May 2026 05:37	+	USD1300.00	USD944.28	TP up	K. Ackerman, S. Feldman
23 Mar. 2026 05:50	+	USD1040.00	USD728.95	TP up	K. Ackerman, Y. Pu, S. Feldman
4 Feb. 2026 13:20	+	USD625.00	USD465.54	TP up	K. Ackerman, Y. Pu, S. Feldman
21 Jan. 2026 05:34	+	USD450.00	USD362.44	TP up	K. Ackerman, Y. Pu, S. Feldman
5 Nov. 2025 12:42	+	USD250.00	USD232.75	TP up	K. Ackerman, Y. Pu, S. Feldman
13 Oct. 2025 06:13	+	USD195.00	USD160.56	TP up	K. Ackerman, Y. Pu, S. Feldman
13 Aug. 2025 06:10	+	USD150.00	USD120.23	TP up	K. Ackerman, Y. Pu, S. Feldman
7 May 2025 06:04	+	USD105.00	USD92.24	TP up	K. Ackerman, S. Feldman, Y. Pu
11 Mar. 2025 06:00	+	USD82.00	USD66.24	TP down	K. Ackerman, Y. Pu, S. Feldman
7 Feb. 2025 06:00	+	USD92.00	USD57.41	Rating up, TP down	K. Ackerman, Y. Pu, S. Feldman
8 Nov. 2024 06:27	=	USD97.00	USD85.90	TP up	K. Ackerman, Y. Pu, S. Feldman
7 May 2024 06:55	=	USD82.00	USD83.85	TP up	K. Ackerman, Y. Pu
28 Nov. 2023 11:07	=	USD50.00	USD41.40	TP up	K. Ackerman, Y. Pu
		USD45.00	USD43.01	Initiation of coverage	K. Ackerman, Y. Pu

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

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Note:

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